Manick Bhan, CEO of Rukkus

“My journey was as unexceptional as you can imagine,” says Manick, in describing how he got to $1 million Annual Revenue Rate in transactions before raising financing. Read on for the whole story.

Sramana Mitra: Let’s start by going back to your very beginnings. I want to hear about where you were born, raised, and in what kind of background.

Manick Bhan: Both my parents come from Kashmir. They raised me in Baltimore, Maryland. That’s where I was born. I’ve grown up mostly in the United States. In the very early days, I liked to take things apart. When I was nine, they bought me this bicycle. The first thing I did was I opened the whole thing up. I took out all the screws and basically dismantled the beautiful bike. They were a little horrified about it because it was a birthday present. This has been pretty constant in my life. I like to take things apart and figure out how they work.

Sramana Mitra: I take it you studied engineering in college.

Manick Bhan: You would think so. My educational journey to get to this point has had a lot of twists and turns. Throughout elementary to college, I was always very good at math and science. I got interested in astrophysics and understanding how the universe works. I went to high school in New Jersey, right outside of Princeton. I ended up getting a full scholarship to go to Duke University where I studied Chemistry, Neuroscience, and Music.

I tried not to think about what I wanted to do. I just tried to explore and find things that resonated with me. I had a feeling that it might not be medicine. Early on, I wanted to put myself in the shoes of a medical doctor and see what it’s like. I realised that if I were standing in his shoes, it’s not the right profession for me. I was also trading stocks. I went to the Duke Business Library and pulled out every book on the shelf about the stock market. My parents had traded stocks a little bit. They were both scientists, so they were doing it for fun.

My roommate was a day trader while we were at Duke. He gave me the bug. I pulled out all these books and studied them cover to cover. I thought, “Now that I’ve read these books, I think I know what I’m doing.” I started investing in options and not so much in stocks. If you put a thousand dollars into a Google option and Google does well tomorrow, you can go from $1,000 to $10,000. That level of accretion was really exciting. I always thought that I was good at it. In that respect, I probably wasn’t. Sometimes, small events guide the next five to ten years of your career.

That was definitely one of those moments where I got into it and I ended up getting a job at Goldman Sachs. What I really loved about the experience that I had there was I had the ability to understand how global businesses work. You get the ability to understand how different world economies function together and how events in one country can impact business here and you see how connected everything is. You can go really deep. They have knowledge base of everything you want to study. In fact, my boss wants me to learn and grow. I was really curious.

When I started at Goldman, I didn't know anything about bonds but ended up joining a desk that did. It was mathematically more rigorous than I expected. It worked out really well and I really loved it. I worked with a variety of companies. I joined just after the credit crisis. I was an intern before the credit crisis and then joined after the crisis. I got to see two different flavours of how the market works. Before the crash, they worked one way. After the crash, it was a very different theme.

Manick Bhan: Just a few years after that, you had these rumblings of the next big tech boom. When Facebook went public, it was an incredible experience to see a company that had grown up quietly and become so huge and valuable. At the same time, that same roommate who infected me with the finance bug ended up going to tech.

A year after leaving Duke and working on a tech company, he sold it for $10 million. It was clear that there was an opportunity in tech. I didn't really understand that until he sold his company. He helped me understand what's happening in technology. At that time, I wasn't a technical person. I was always good with computers. As I said, taking things apart was my forte. I didn't have all the skills I needed but I had the curiosity. Now, I'm the CTO of Rukkus and I can code in almost any language.

At that time, I didn't know how to do that. This was maybe two to three years ago. I saw this huge opportunity looking at the Groupon IPO and working with eBay. We were raising funds for them. Their CFO was speaking with us saying, "If you guys are trying to price our deal, why don't we let people bid on it. Why are you guys just speaking to the investors and then deciding amongst yourselves? Why don't we just let technology do it?" Today, it sounds so simple and obvious, but on Wall Street, that's not how things are done. It was a moment of clarity.

Because of the way that this business has evolved, it hasn't embraced these technological advancements and this way of thinking. That's not how it happened but it should have had happened that way. That also told me a lot. I realized that this was probably the right time of my career to take a little bit of risk and try something new. I left Goldman. I'm still close to my bosses there and they were very supportive of me.

Sramana Mitra: What year are we talking?

Manick Bhan: 2013. They gave me some seed capital to help me get started. Probably at that time, they were skeptical. Frankly, I didn't really know what I was doing. I founded a company called Rukkus. We sell tickets to popular sports and theatre events across the country. If you want to see the Yankees play or Justin Beiber, or go see Hamilton in New York, these are the kinds of events that we ticket for. Working closely with Ticketmaster, I knew a lot about this industry. It was one of those industries that is still very lucrative.

Sramana Mitra: Given all those other players, what was the opportunity to do a new company? What did you identify as the gap in the market?

Manick Bhan: The gap existed in two ways. One, mobile was a new frontier around the same time that everyone understood that Instagram was becoming very popular. People liked to buy tickets on the phone. People like to buy tickets last minute. There were no apps at all to buy tickets. That was one big problem. I realized that even the other ticketing sites were clunky and difficult to use. They're not well-built and they're very old. These are 15 to 20-year-old companies. They make a lot of money but they're from a relatively early era of the Internet.

At that time, even the startup ecosystem in the ticketing space was very young. They also had different business models. We didn't really know what our business model would be at that time. One thing that I knew very well is that this secondary market which we deal a lot with is incredibly dynamic. There are a lot of people who monetize it really well and make a lot of money. The margins are wide. I wanted to get in there somehow but I didn't know exactly the manner in which we would do it—whether we would become a trading house and do trading on our own, or build a consumer-based platform.

Early on, we started to study the space and became students of this ecosystem. Technology has changed a lot in the past three years in the way that people operate in Facebook, Twitter, and LinkedIn, and the manner in which you acquire new users. All these have evolved tremendously. This is a great thing for startups like us because it means the old people in technology have to keep up with the trends. They have to continue to improve how they do things. Otherwise, guys like me can sneak up and beat them to the punch.

Ticketing is so dynamic. You have new events announced all the time – new tours, new concerts. That was such a huge opportunity for us to try to push them out because everything has to be rebuilt all the time. A lot of those things attracted me early on and they're also the reason why we've been as successful as we've been.

Manick Bhan: At a high level, the preparation included me learning how to code. I had spent about nine months on that. I spent a lot of time in my apartment staring at a blinking cursor on a black background. Every time I hit an error, I put that error into Google to figure out what the answer was. I just did that over and over again until I built my first computer program. My first computer program was to download music from Spotify as an API. I was downloading all the tracks and saving it to a database. That took me maybe a day and a half to learn how to do it from start to finish. After that, I just kept going. Do you play a musical instrument, by any chance?

Sramana Mitra: Yes, I play the piano.

Manick Bhan: Do you remember in the early days when you were learning how if you practice for a week, you can become twice as good?

Sramana Mitra: Yes.

Manick Bhan: Then maybe the next time you work two weeks to be twice as good. Now you have to work a month. Do you remember that experience?

Sramana Mitra: Yes.

Manick Bhan: For me, it's incredibly addictive. Especially early on, the learning curve is so steep that you just get this exhilaration of being able to do these amazing things with software. That becomes a powerful motivating factor. That propelled me through the seven months of incubating myself and learning how to code. At the end of it, I was able to get to an MVP product.

I definitely made a lot of mistakes along the way and had a lot of tricky things I had to figure out. Nevertheless, we got to the finish line and we got an app. We put it on the app store. The first day that we launched Rukkus, we did something like $17. It was exciting to sell something to someone.

Sramana Mitra: We need to go a little bit slower. When you decided that there was a gap, what's the first thing you did? You went to Goldman Sachs and told them that this is what you were going to build and they give you seed capital for that idea? Is that what you're saying?

Manick Bhan: I wish it was that easy. It was somewhat like that. I had the idea and explained it to my boss. At that time, he didn't invest in the idea. I had to put my money into it first. What I learned in the beginning is it doesn't matter how successful you are in Finance or any career outside of technology. They want you to prove to them that you're serious and that you're committed.

I don't blame any of the early investors for doubting that I would be successful. After I threw my hat over the fence and left my job, which was lucrative, they realized that I was serious. Initially, I hired these offshore development teams. I told them all that if they can build my product, I'll pay them. I didn't want to hire just one because I knew that the chance of them being successful was low. I was wise to hire five. If they all were successful, they would all get paid. I didn't think that they would all be successful and that's exactly what happened. One week in, one team gives up. Three weeks in, the second team gives up. A month and a half in, the third team gives up. Two months in, the fourth team gives up. Then there's this last man standing. You really want to believe in all these relationships and all these people who are telling you that they can do what you want them to do. They're giving you assurances upon assurances. They really try to make you feel good.

The reality is they're not investing in your idea. They just have to believe that you have enough capital that you'll pay them for the services. It's a very treacherous landscape. Not a single day goes by that I don't get at least three messages from people soliciting me for software. It's incredibly annoying. It's very dangerous to be honest. I can't say that I know a lot of people who have been successful with the outsourcing model.

I have to say that the first thing that any entrepreneur should do if they're building a real tech product, they should have someone at the company who understands how the technology works. So when someone tells you the reason for being behind schedule, you need to be able to understand if they're making it up or if they're justified in thinking that way. I couldn't do it in the beginning and I think that might be part of the reason that none of these companies were successful. After I learned, then I hired my own engineers.

Sramana Mitra: How did you get your MVP out? Before you got any seed funding, I take it that you had to get an MVP launched and get some customers going.

Manick Bhan: Yes.

Sramana Mitra: That's how the industry works. There are exceptions. Usually, first-time entrepreneurs are not exceptions. I'm just trying to see if you had to go the normal route.

Manick Bhan: It was the opposite. It was the most unexceptional way to build a product. I believed, naively, that our launch would be two months away. I invested some of my own capital. It didn't really take that much in the early days. As far as starting a company goes, it was not a whole lot. I had some family and friends put in some money. It was just enough to get some initial stuff going.

The product, frankly, didn't look good. It was too complex and complicated. I thought that it had all these bells and whistles, and it was a bad idea. If I could go back and do the whole thing differently, I would have just said, "What is that truth of the idea that I have?" The way the people go and experience live events is so different. Some people need to discover them through another app. Some people know what they want to go see and they're just looking to find the best deals.

The problem that we had was we tried to be all things to all people. We just couldn't do that as an early stage tech company with almost no capital and limited technological expertise. When we started to do it right, I remember that we were almost out of money. Everything was on the verge of not making it. We said, "Let's just try to sell a ticket. Let's stop trying to over intellectualize the experience. Let's just build a simple app that shows you these are the upcoming events that are happening near you. Just pick the popular ones and let's give people a few options of what to buy. Let's see if we can get one person to buy."

That was our fear all along. Our fear was failure. We had to build something and over intellectualize it to make it seem interesting and special when in reality, we should have taken the alternate approach. The essence of it was just to sell something. The first day that we launched it, we got a sale. It was a $17 sale. We weren't making money. We bought it for $17. What we knew is if we could sell one ticket for $17, we could sell a hundred tickets for $100. We just had to do two things. We had to get really good at solving the problem of ticket selection. You want to go to see the Giants play and you want to figure out where you want to sit. That part of the experience was where we focused on.

We tried to get as good prices as we could. In the beginning, we said, "Let's try to make the tickets cheaper than we can find." We were doing that for a while. We did that for about six months in the early saga of our post-launch days. The great thing was we went from doing $17 in the first day to $1 million run rate by the end of the year. I know your goal is to help a million entrepreneurs get to a million dollars in annual revenue. It can absolutely be done because of how broad and vast e-commerce and the Internet is in terms of being able to generate revenue. It can happen almost anywhere.

Sramana Mitra: Let's get back to the specifics of how you did it. Now that you are in the market, you have figured out that you can get to a million dollar run rate. What was the reason why people were buying from you versus these other players? You had all kinds of hypothesis intellectualizing before you started, but what did you learn from the market?

Manick Bhan: In that time, the only goal we had was, "Can we analyze the things that are happening with our users and our app?" What percentage of them are buying? When are they buying? The thing is we had a little bit of spark. All we were doing is we were gathering around this flame and just trying to study it. We were just studying all these details.

Sramana Mitra: I'm asking you a specific detail from that lot. Why were they buying from you? This is one of the fundamental positioning questions that people need to ask? Why?

Manick Bhan: There's no why actually. This is something important that I think most VCs fail to understand. The world is not black and white. The world is grey. We weren't the best product. We weren't the cheapest product. We weren't the most impressive. We were just there.

Sramana Mitra: Then next question is how were you there? How were customers finding you?

Manick Bhan: The app stores are already organic paths that bring customers to you. Google is a very powerful driver of traffic. Even if you're just starting out, you'll still get something. You're going to get some eyeballs. Same is true in the app store. You're going to get some background noise of installs. These are real people. You're not just getting a whole lot of them. They're finding you in some nook and cranny.

Sramana Mitra: You were basically in the app store and you were getting some organic traffic. You managed, somehow, to convert that traffic into actual transactions. That's the crux of the story that you're telling here at this point.

Manick Bhan: Yes, that's true of anyone who is in e-commerce.

Sramana Mitra: Where are we in the chronology of this story?

Manick Bhan: This is nine months after launching the iPhone app.

Sramana Mitra: Is that end of 2013?

Manick Bhan: This is 2014.

Sramana Mitra: What happens next?

Manick Bhan: We figured out how to rub these two stones together and kept building up this small fire. We were doing maybe $50,000 in sales a month and slowly growing. By the end of the year, we had hit $1 million ARR (Annual Revenue Rate). In that process, we focused on the two fundamentals of what it takes for the solution to be successful. Understanding organic search is hugely important. You can't just read it online and learn it. You have to be doing it and running experiments. We were running several experiments.

We started to grow and build our initial growth model. If I can buy 100 users for $100 and some percentage of those users end up transacting and buying something, how much money do I generate right out of the other end of the funnel? We continue to focus on that unit economics. We began looking at retention. If we pay $10 per active user, how many transactions can we expect from them over the next six months? A lot of people talk about this a lot and they do a good job with it.

In our business, since we are a marketplace, our suppliers are really important. We continue to forge deals and make relationships on the supply side. When $15 billion of tickets are sold, these are the guys who own them before they are sold. We were striking deals and making relationships, and trying to get these things happen. The challenge was none of them took us seriously. If you're selling tickets worth $10 million, a small tech startup that's going to sell tickets for maybe $1,000 is just not interesting. We had to adapt our strategy.

We ended up building a very simple tool for them so they can see how tickets across the industry was changing in price. They never had that before. That's how we got our first $50 million of direct inventory. Now we have over $1 billion. We just continued to focus on these kinds of early business fundamentals. We had enough there that we could raise our first funding round. These were actual investors who knew what they were doing and were generally very well connected in tech.

Sramana Mitra: From whom did you raise that round?

Manick Bhan: We raised that round of funding from angel investors and some venture capital firms in New York City as well as a lot of the strategic partners who were uploading their inventory to us. They thought, "Maybe they'll make it. Why don't I invest a little bit?" They were great partners in both ways. We even had the owner of a professional sports team investing.

Sramana Mitra: How did you find your investors?

Manick Bhan: Most of the investors that we were connected to came through our networks. Along the way, we went to various events. I don't recommend going to all of the tech events, but sometimes, some of them are good. You know which ones are good because those are the ones that your entrepreneur friends are recommending. If you're in New York, the New York Tech Meetup is one of the best meetups in the city about announcing cool technology. There are always investors there. There are always cool entrepreneurs there much more successful than you have been. We're able to build together a network.

Sramana Mitra: How much was that financing?

Manick Bhan: Because the investors of that financing round are almost celebrities, so details around our early financing are confidential until we raise our next public financing round .

Sramana Mitra: So you've only raised one round of financing so far?

Manick Bhan: Yes.

Sramana Mitra: In 2015, what are the major strategic moves that you made and what impact did that have on your business?

Manick Bhan: Early on, we realized that pricing is very important. We began to run data science on the pricing data that we were getting and what it meant for our conversion rate. We were able to figure out our unit economics and, most importantly, our plan of improving our margins, which were very small back then.

The more money you make per transaction, the more ads you can buy. Some people think, "Give your customers cheap prices and that's the best you can do." That's not the best you can do. We continue to improve the margins and became really focused on growth by mastering organic search, Facebook ads, and Twitter ads. We became, very much, experts in those things through much experimentation.

Sramana Mitra: The business model is a commission model?

Manick Bhan: Exactly.

Sramana Mitra: What percentage of tickets sales do you take?

Manick Bhan: 30%

Sramana Mitra: What else is interesting to cover?

Manick Bhan: The personal and the meaningful insights are the ones that happened at the very beginning of our etrepreneurial journey. Whether you're an investment banker or someone who is just graduating from college, it's very humbling because you're generally all on the same playing field. I think there's something really refreshing about that. Everyone who hasn't done it before is on the same playing field. The rules back then aren't the rules now, but the patterns are similar. Now it's about building a strong culture of bringing in innovation and using innovative products?

Sramana Mitra: Thank you for your time.